EUROPEAN ECONOMICS ANALYST

Spain – Structural Resilience Beyond the Energy Shock

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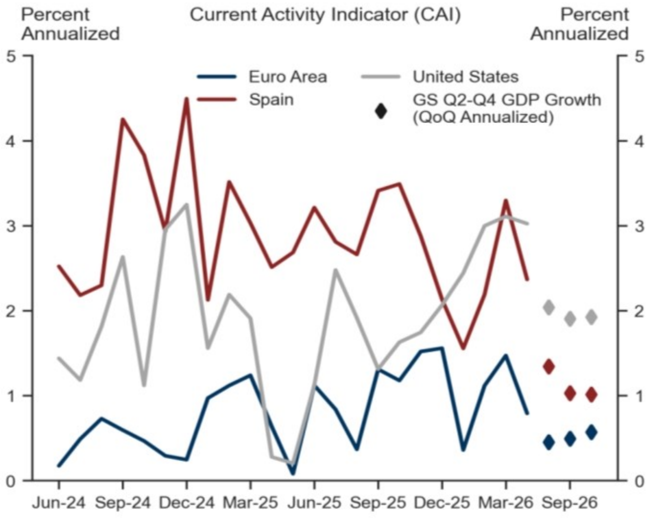
- Although the energy shock is taking its toll on the Spanish economy, we still expect economic growth to outperform the rest of the Euro area. With growth running strongly above trend and the primary fiscal balance at the highest level since 2007, Spanish sovereign spreads are well-supported, relatively tight and resilient.
- The fiscal mix in Spain differs from other EMU4 countries. The government has decided not to prioritise defence spending and, even though the Spanish economy is less exposed to the conflict in the Middle East given its lower energy intensity, its fiscal response to the surge in energy prices is the most aggressive within the EMU4.
- Strong job growth has coincided with strong immigration and a shift in the workforce towards higher value-added service sectors—especially professional services, finance, and information technology—continuing to signal structural progress in the Spanish economy. Since 2021, Spain has recorded the highest productivity growth, per employee and per hour, within the EMU4.
- Investment growth remains resilient and broad-based. Spain's total capital expenditure is back to the level before the sovereign debt crisis and investment as a percent of GDP is set to overtake the Euro area, US and UK in 2026. The composition of the investment recovery also looks promising. The construction sector has consolidated its growth momentum and the surge in residential real estate prices due to net migration should attract additional investment in the sector. The key support from the European Recovery Fund comes to an end this year. However, we estimate that its effect will extend further.
- Against this macro backdrop, investors are constructive on Spanish government bonds. Our analysis finds no pricing of domestic risk: Spanish sovereign spreads have widened only in combination with flatter yield curves across Europe, pointing to rising inflation and slowing global growth as the sole factors responsible for the recent widening.
- We see two main risks that could potentially challenge this constructive outlook. As we move into the Summer, we estimate that an unresolved energy crisis feeding into air travel costs could lower GDP by 0.3% for every 10% reduction in tourist arrivals by air. Looking ahead to the 2027 election, any shift in opinion polls pointing to another split parliament or an increased likelihood of a minority

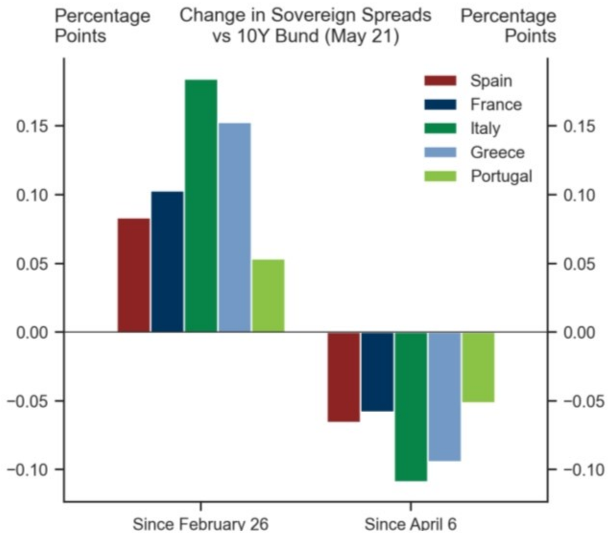
government would reduce investors’ confidence in extended gains on the economic front.

Spain – Structural Resilience Beyond the Energy Shock

Spain's macro outperformance remains visible both in economic activity and in sovereign debt pricing. Economic activity has continued to run ahead of the Euro area and the US since the middle of last year, while sovereign spreads have remained comparatively tight, indicating investors' confidence in the outlook for Spain. That said, the Spanish economy is set to slow down because of the energy shock, although it is still outperforming the Euro area (Exhibit 1).

Exhibit 1: Growth Outperformance Keeps Spreads Tight

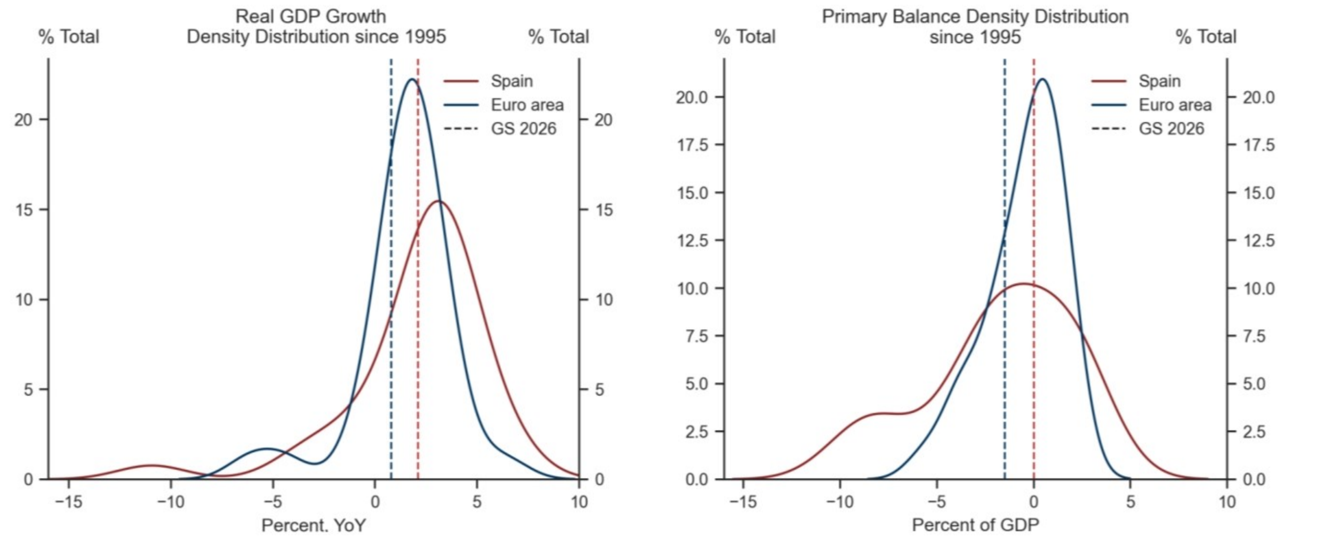




Source: Goldman Sachs Global Investment Research, Haver Analytics

Current macroeconomic performance compares favourably from an historical standpoint. Spain entered this energy crisis from a relatively robust macro position. Even accounting for the upcoming slowdown, we forecast real GDP growth in 2026 at or above the long-run average, while the primary fiscal balance compares favourably with historical precedents and is the third-highest in the last 19 years (Exhibit 2).

Exhibit 2: Primary Balance and Real Growth are Close or Above the Historical Average

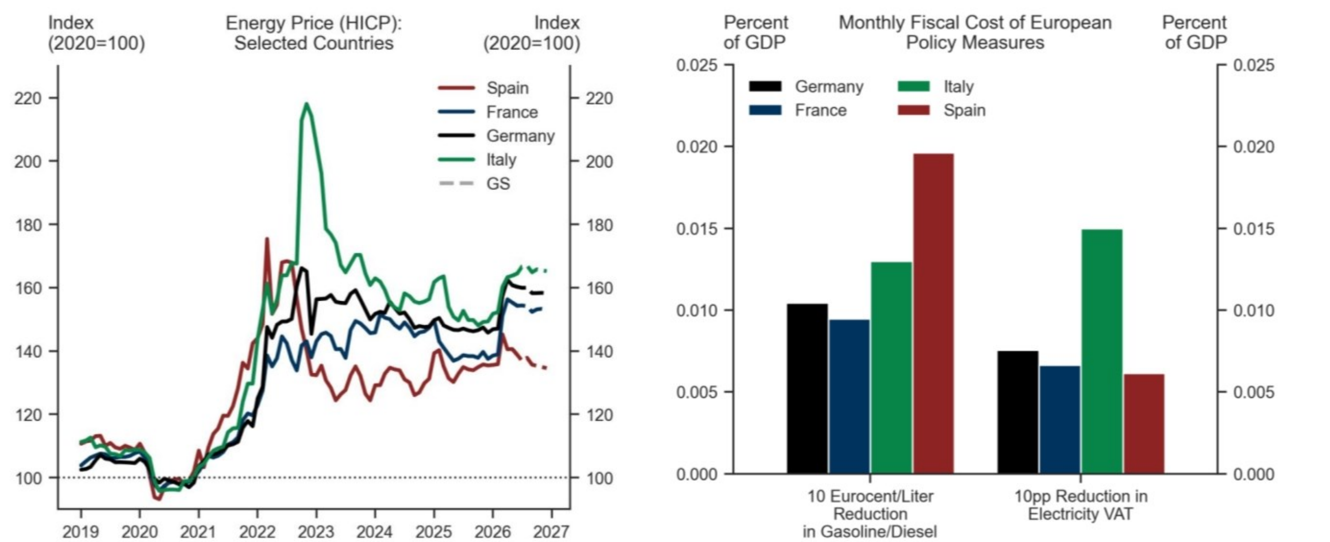


Source: Goldman Sachs Global Investment Research, Haver Analytics

A Relatively Strong Fiscal Response to the Energy Crisis Leaves the Fiscal Balance in a Good Place

Spain's lower energy intensity helps contain the direct hit to growth, while fiscal risks remain manageable despite a relatively significant policy response. Since the 2022 energy crisis, Spain has been the least exposed in the EMU4 to the surge in energy prices. The fiscal cost of the most common measures used to shield consumers also sit at the lower end of the distribution in Spain, with the notable exception of tax cuts for petrol and diesel (Exhibit 3).

Exhibit 3: Lower Energy Exposure, Limited Fiscal Risk

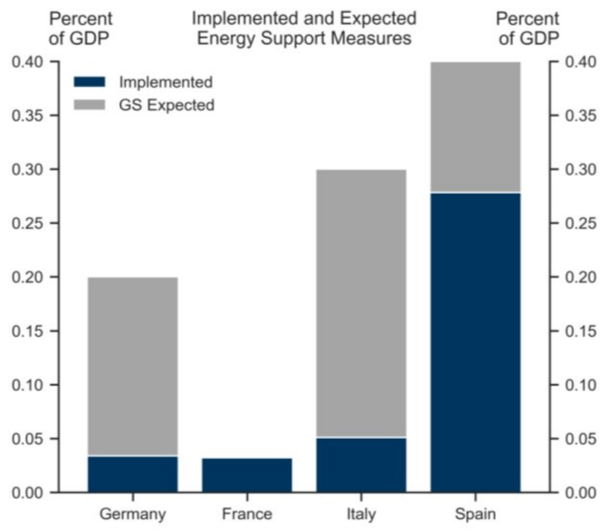


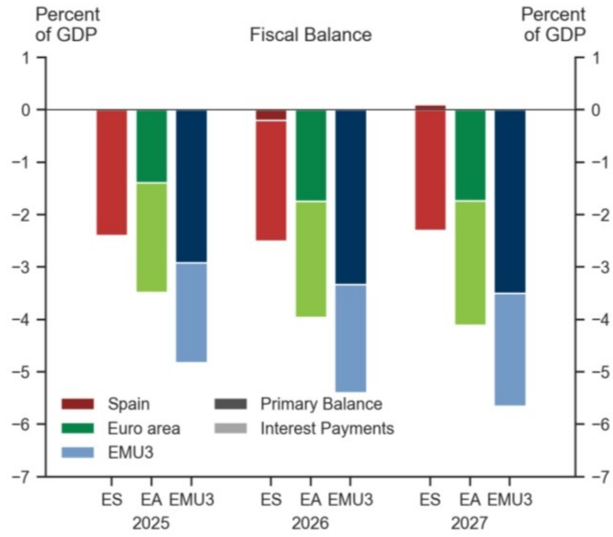
Source: Goldman Sachs Global Investment Research, Haver Analytics

However, Spain has delivered one of the most forceful energy-related fiscal responses in the region. Its decision not to prioritise defence spending and its relative insulation from the shock has allowed policymakers to provide support without materially undermining the broader fiscal position. While the increase in support has been the largest in the

EMU4, the fiscal balance remains among the most constructive in the Euro area. Spain's policy mix has been relatively expansionary, but it has not damaged its credibility from a sovereign perspective as Spain remains the only EMU4 country where we expect the debt-to-GDP ratio to be lower over the next three years (Exhibit 4).

Exhibit 4: Larger Energy Support, Strong Fiscal Position





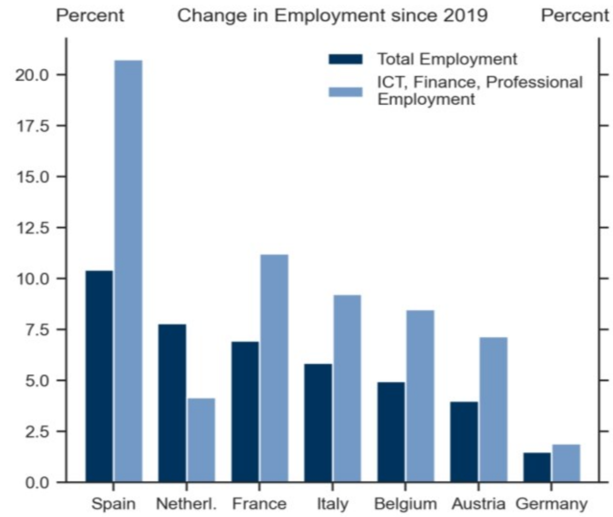
EMU3 includes Germany, France and Italy.

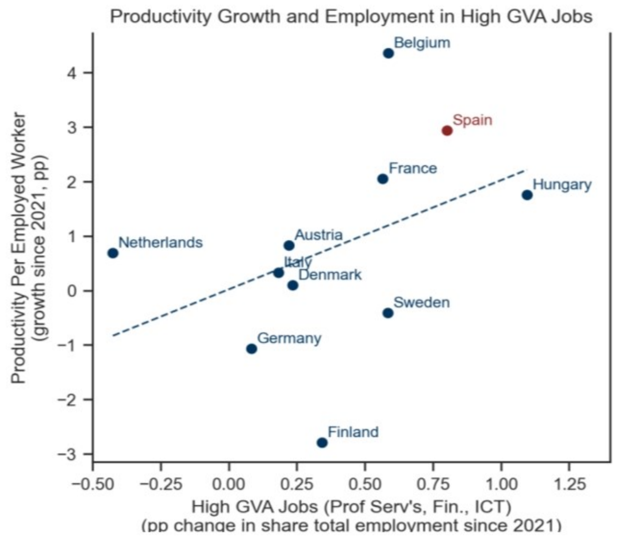
Source: Goldman Sachs Global Investment Research, Haver Analytics, Bruegel

Continuing Evidence of Structural Productivity Improvements

The employment rate is the highest it has ever been and the unemployment rate is the lowest since 2008. The Spanish labour market remains cyclically stable, accommodating large net migration flows, and employment gains have increasingly been concentrated in higher-value-added service sectors (professional services, finance and ICT). This job reallocation, a specific feature of the Spanish economy in the European landscape, appears to be feeding through into stronger productivity performance. Spain's recent outperformance likely reflects a gradual improvement in the quality—not only the quantity—of labour demand (Exhibit 5).

Exhibit 5: Labour Reallocation Supports Productivity



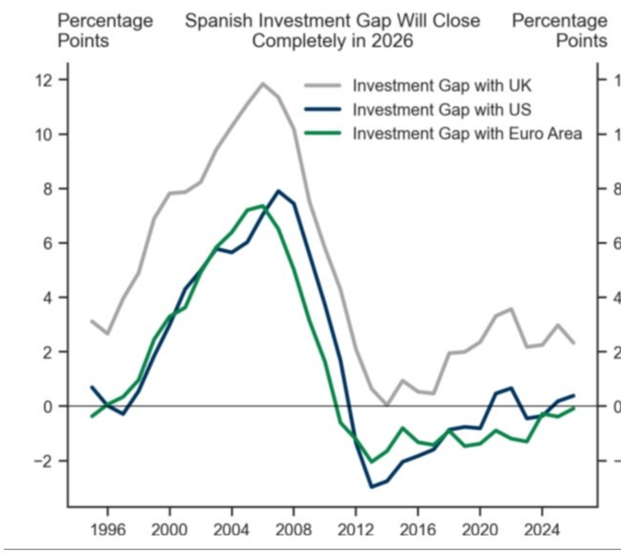


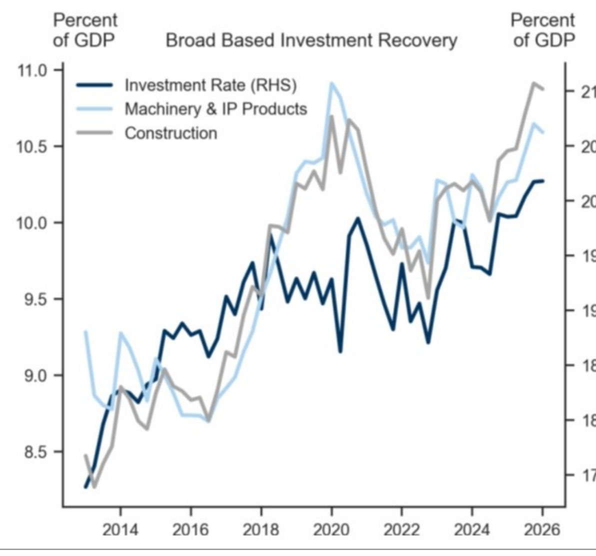
GVA stands for Gross Value Added.

Source: Goldman Sachs Global Investment Research, Haver Analytics

Capital accumulation has also been an engine for growth. The investment recovery in Spain is both resilient and broad. Capital expenditure has regained ground relative to past cycles and is set to close the investment gap with the Euro area, US and UK this year. The composition of the investment recovery looks especially promising, with capital expenditure on machinery and intellectual property products the highest in 25 years. A durable investment momentum is typically associated with an extended expansion (Exhibit 6).

Exhibit 6: Investment Recovery Gains Traction

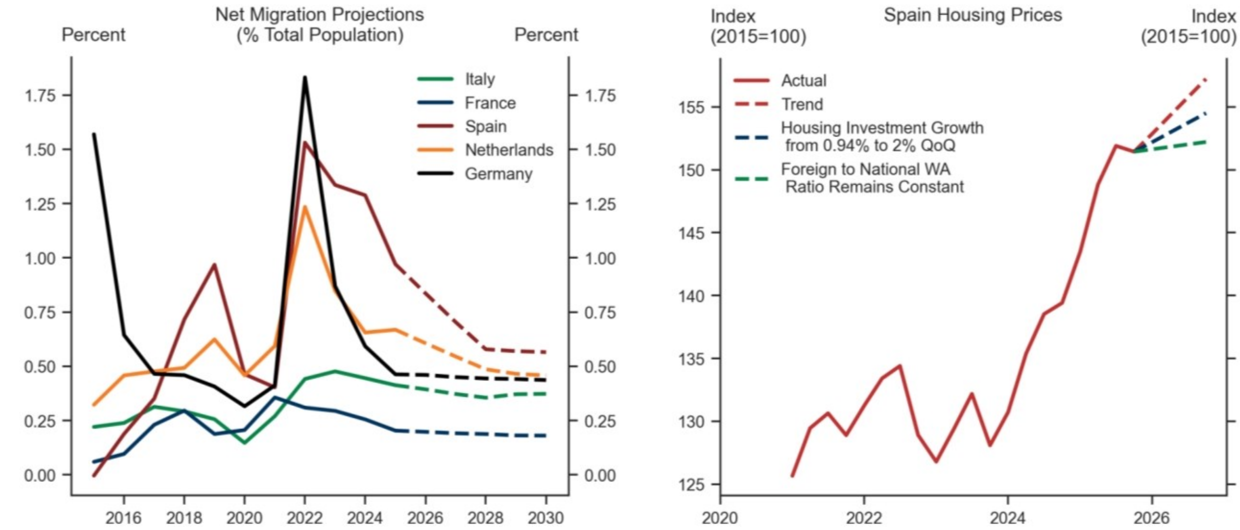




Source: Goldman Sachs Global Investment Research, Haver Analytics

The construction sector has consolidated its growth momentum. Net migration into Spain in particular has been elevated since 2023 and a key factor supporting economic growth. But demographic pressure has also tightened the housing market, raising sharply residential real estate prices by almost 20% over the last two years. While house prices have risen, supply has struggled to keep pace and we estimate that housing investment needs to double in order to normalize residential real estate appreciation. We expect this factor, along with the surge in residential real estate prices due to net migration, to attract additional investment in the sector (Exhibit 7).

Exhibit 7: Net Migration and Demographics Lift Housing Prices

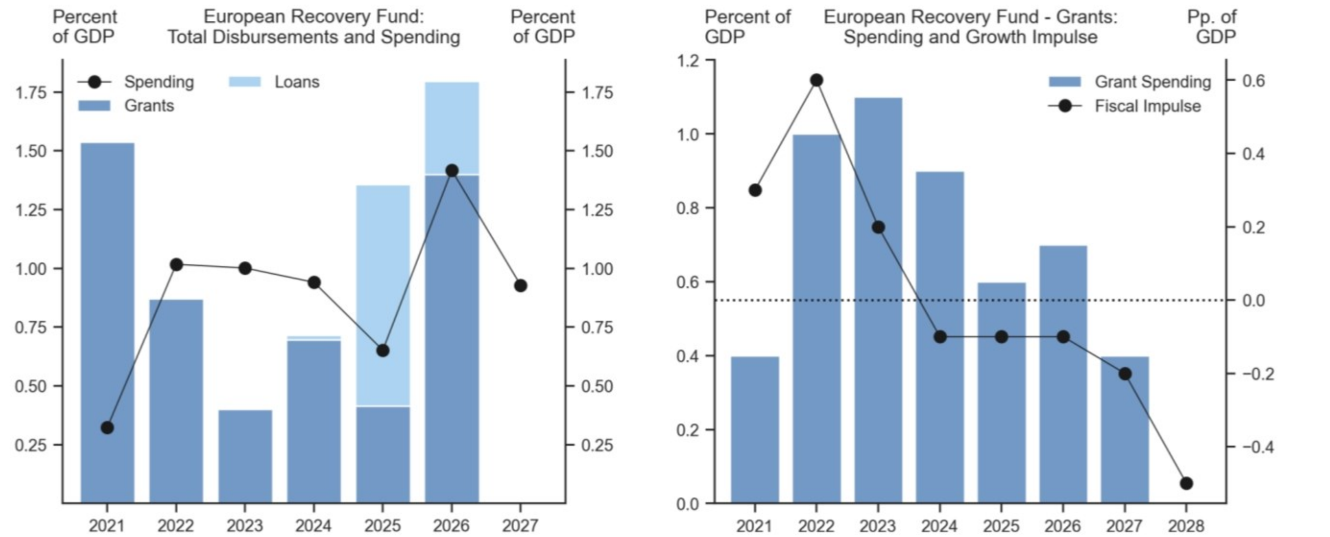


Source: Goldman Sachs Global Investment Research, Haver Analytics

The government has also set up a specific policy tool to support developments in the housing sector. By establishing the *España crece* (Spain Grows) fund, the government plans to mobilise EUR 60bn through the Official Credit Institute (ICO) to reach a total investment of around EUR 120 billion (9% of GDP), combining public and private capital. Endowed with a capital injection of EUR10.5bn from the European Recovery Plan, the fund explicitly targets private leverage to augment investment in residential developments.

The fund was also part of a broader strategy of the Spanish government to extend the impact of the European Recovery Fund beyond the end of the programme in 2026. The Recovery Fund has been a key factor supporting investment growth and comes to an end this year. Since a large share of investment projects will only be completed in the first half of next year and with the *España crece* fund in place, we estimate that the support of the European Recovery Fund will extend beyond the end of 2026, suggesting a moderation rather than collapse of fiscal support for investment, and reducing the risk of an abrupt halt in capex momentum (Exhibit 8).

Exhibit 8: Recovery Fund Support Fades Gradually



Source: Goldman Sachs Global Investment Research, Haver Analytics

A Constructive Outlook for Spanish Debt

Investors are constructive on Spanish bonds as weakening momentum due to the energy crisis seems to have been unaffected by country-specific risks. In line with previous work, we use a simple structural vector autoregression (SVAR) model with "sign restrictions" to disentangle the underlying macro drivers of sovereign debt pricing. To do so, we define the drivers as follows:

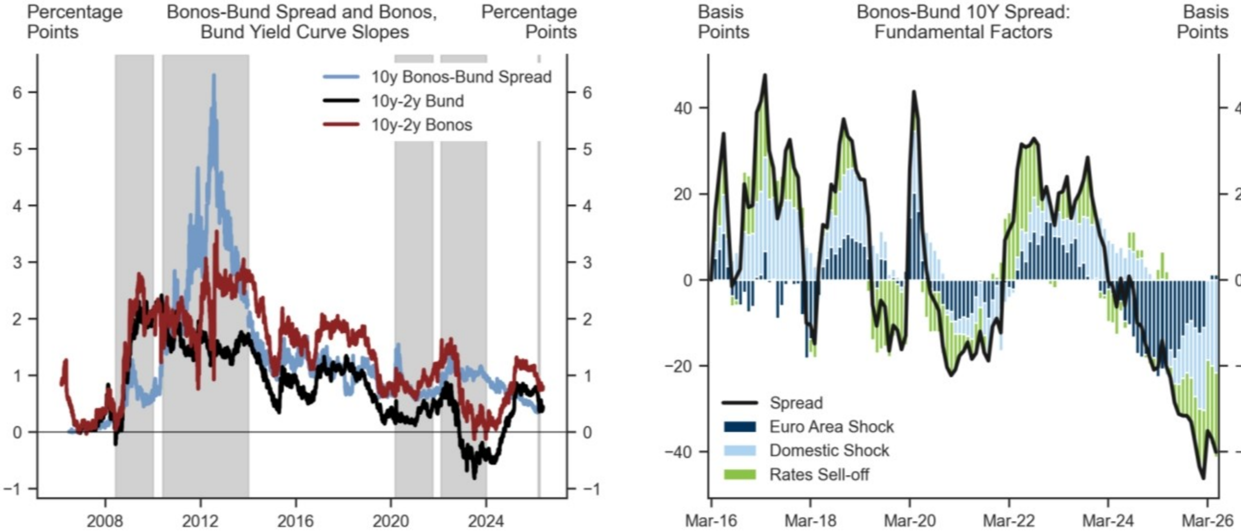
1. Euro Area Shock: when both the Spanish and German sovereign yield curve flatten (10y-2y Bonos and 10y-2y Bund) and the Spanish sovereign spread (10y Bonos-Bund) widens.

2. Domestic Shock: when only the Spanish sovereign yield curve flattens and the Spanish sovereign spread widens at the same time.

3. Long-End Rates Sell-off: when both the Spanish and German sovereign yield curves steepen and the Spanish sovereign spread widens.

In this simple way, it is possible to assess whether the market pricing of Spanish sovereign spreads is more likely to be due to external macro factors – e.g., a deteriorated growth outlook or inflation surging in the region, with rates selling off – or to risk factors specific to the Spanish landscape that push up the yield curve and widen the sovereign spread at the same time. We find that domestic risk (a flatter Spanish curve and wider spread) has remained contained throughout the energy shock so far, while spread widening has been combined with flatter yield curves across Europe. This points to rising inflation and growth concerns beyond the idiosyncratic risks for the Spanish economy and is consistent with the view that investors are currently attaching a negligible Spain-specific risk premium (Exhibit 9).

Exhibit 9: Spreads Price European, Not Domestic, Risk



The sovereign spread depicted in the right chart shows the deviation of the spread form the sample average.

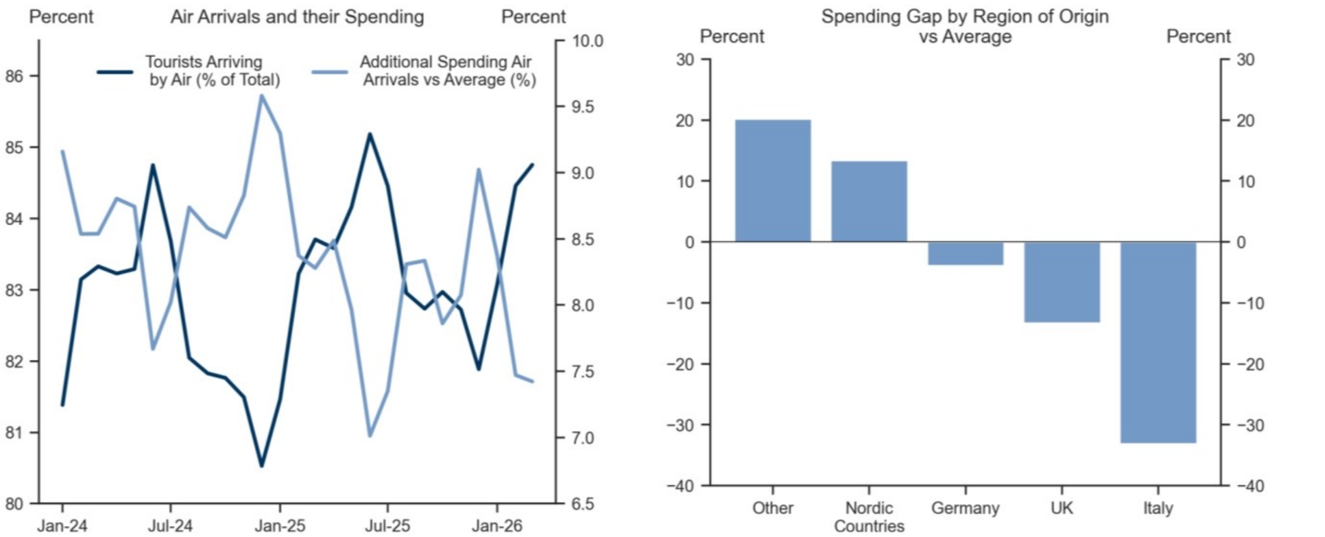
Source: Goldman Sachs Global Investment Research, Haver Analytics

Two Risks To Watch: Energy Hit on the Tourism Sector and Prolonged Political Uncertainty

We see two main risks that could potentially derail the otherwise constructive outlook for the Spanish economy.

The first is the potential impact of the energy crisis on the tourism sector in Spain specifically, and Southern Europe more broadly. As the Summer approaches, an unresolved energy crisis could feed into air travel costs. Tourist arrivals by air matter disproportionately for Spain's growth outlook. They not only represent almost 90% of total international tourist arrivals in Spain but they also display a higher propensity to spend. An energy-driven increase in travel costs would not only reduce arrivals, but could also weigh more heavily on the highest-value segment of external demand (Exhibit 10).

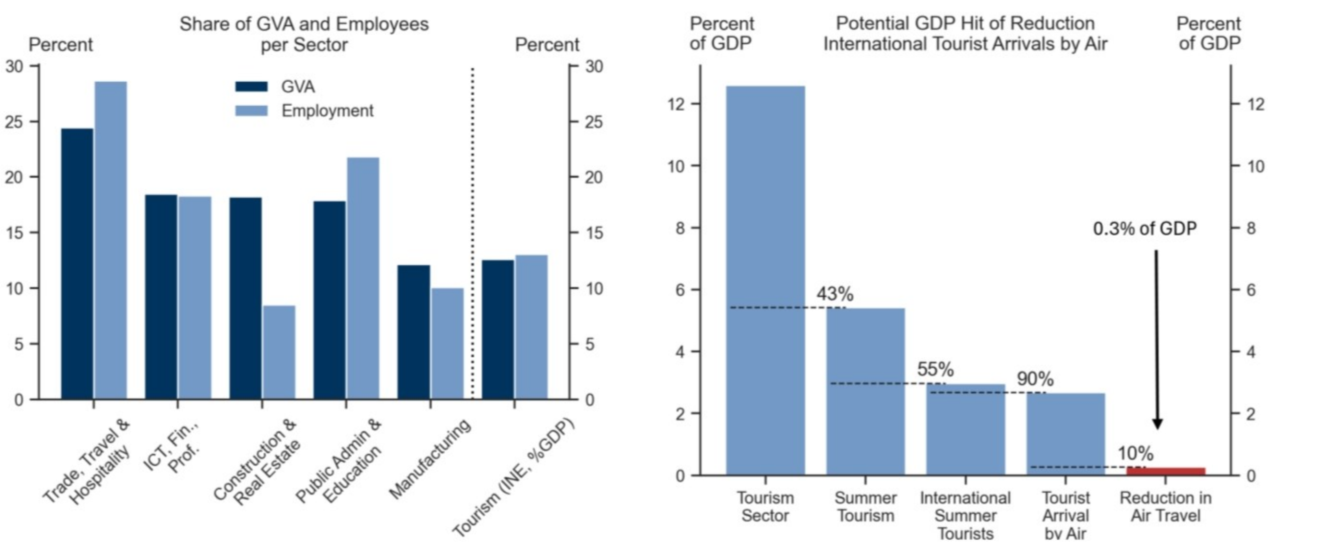
Exhibit 10: Air Travel Brings Higher-Spending Tourists



Source: Goldman Sachs Global Investment Research, Haver Analytics

The size of the tourism sector is not easy to measure because of the multiple spillovers in related sectors, such as trade and cultural services. However, available estimates place the sector in the range of 10-15% of Spanish GDP. The National Statistical Institute (INE) estimates that tourism contributes 12.6% of GDP. With this magnitude in mind, and taking into account the relevance of the summer season (June-September) and the share of international tourist arrivals by air in total spending, we find that every 10% reduction in tourist arrivals by air could lower GDP by about 0.3% (Exhibit 11).

Exhibit 11: Tourism is Large Share Spanish GDP and Tourist Arrivals by Air is Key Component

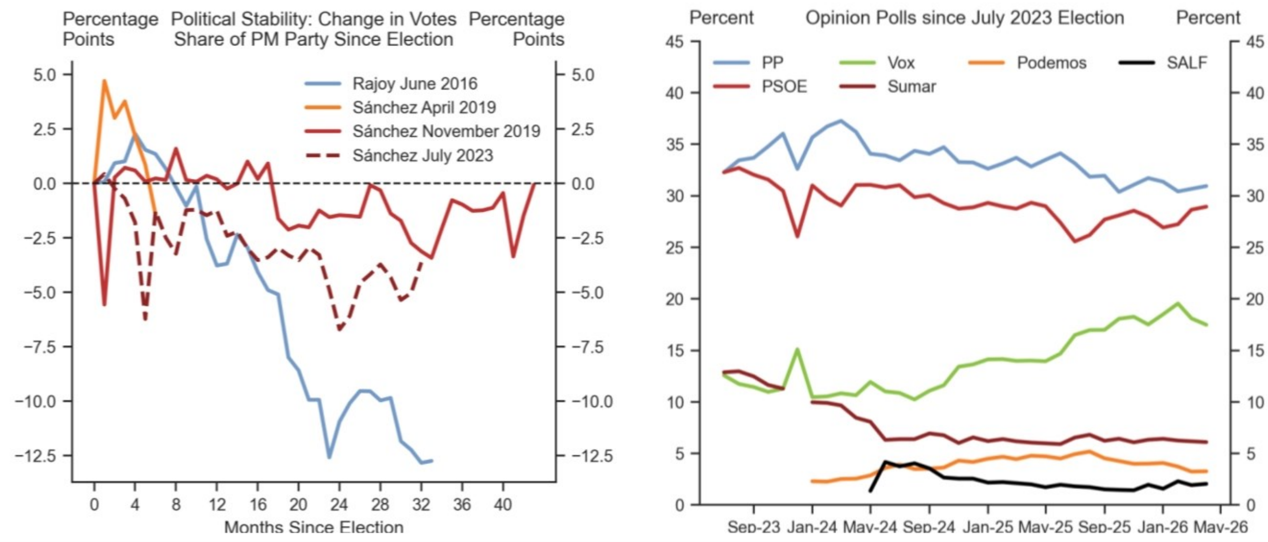


Source: Goldman Sachs Global Investment Research, INE, Haver Analytics

The second risk for the Spanish outlook is prolonged political uncertainty. PM Sanchez has been in office since 2018, but since the 2023 snap election he has led a minority government unable to approve a fully fledged annual budget. This limited ability to shape fiscal policy has not impeded the reduction of Spain's fiscal deficit, but the support of the European Recovery Fund has been key in securing investment growth despite political fragmentation.

With the European programme coming to an end this year, the need for a government able to approve the annual budget will become more urgent. Current opinion polls suggest a steady shift in support from PM Sanchez's centre-left party (PSOE) to the alternative centre-right and fiscally conservative People's Party (PP), although they also point to a non-negligible likelihood that the 2027 election will deliver another divided parliament unable to form a clear and stable majority (Exhibit 12).

Exhibit 12: Polls Point to Likely Change of Ruling Coalition in 2027, But Risk of Political Fragmentation Remains



Source: Goldman Sachs Global Investment Research, Politico

Looking ahead to the 2027 election, investors are likely to focus on the likelihood of another parliament without a clear majority and the possibility of a minority government. Prolonged political uncertainty would likely reduce investors' confidence in the continuing transformation of the Spanish economy and weaken the case for our constructive outlook.

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